

TIM 80C, Lecture # 17 (5/26/2026)

Agenda:

1. Funding Process
2. Sources of Funding
3. Valuation of a startup:
Ownership, Dilution, Shares
4. HW #5 has been posted: due on 6/4/2026
5. Read the "Flickr founder" interview
(on Canvas) before Thursday's class meeting
- share at least one lesson (you)
learned, in-class on Thursday
+ 1 pt. (on HW #5) for sharing....
- 1 pt. (on HW #5) for not sharing
(HW #5, Prob. 3)

Please attend!

Funding Process

The process for raising capital to fund a start-up is as follows:

1. Set funding objectives

(a) How much funding (\$) and when (timing)

⇒ This information is obtained from your NPV cash flow analysis
(Example: HW#4, Prob.#4; HW#5, Prob.#1)

Examples of funding goals:

Seed capital $\approx$ \$100,000 $\Rightarrow$ develop a working prototype:
(α -prototype: "proof of concept")

Round A $\approx$ \$1M - \$5M $\Rightarrow$ Product development, marketing, ...
(β -prototype for testing on early customers)

Round B $\approx$ \$5M - \$50M $\Rightarrow$ to launch the company & manufacture & sell the product.

(b) How much dilution (%) are the company's founders willing to tolerate in exchange for receiving funding (\$)?

Dilution (%) $\equiv$ % reduction in the ownership of the company's founders in exchange for funding (\$)

Example : If the company's founders are willing to give up 30% of the ownership of the company in exchange for \$5M of funding, then

% reduction in ownership = 30% $\equiv$ Dilution

2. Prepare a funding plan

- source : who do you contact (e.g. Venture capital,)
- what is your Business Plan
- what is your "sales pitch" for your start-up, aka your business presentation
- what are the "unfair advantage(s)" of your start-up (e.g., a compelling or "killer" product, a strong technical team, a well-known CEO,)

3. Implement your funding plan
(contacting your funding sources,
making presentations, ...)
4. Obtain feedback from your presentations,
& modify your business plan &
presentation accordingly.

Sources of Funding

Before a company goes public, it has the following sources of funding available to it.

- (i) Private sources of funding:
- Friends & family (not recommended!)
 - Angels (rich individuals)

Private sources of funding are "good" for obtaining seed capital.

- (ii) (Limited) Government Funding
- NSF (Science): Small Business Innovation and Research (SBIR) program
 - NIH (Health)
 - DARPA (Defense)

(iii) Large Technology companies
(Intel, GE, Microsoft, Cisco,)

(iv) "Indirect" channels in the financial system

- Investment banks (Goldman Sachs, JP Morgan, Merrill Lynch,)
- Venture Capital Firms (Kleiner Perkins,)
- Bank loans

→ The amount of money available in the "indirect" channels is ~ billions of dollars

(v) Equity crowd funding

- more recently the US Government has allowed private individuals (you, I, ...) to invest directly in start-ups [through the "JOBS" act]

(not Kickstarter)

"END-GAMES" for a start-up (aka Exit Strategies)

1. Remain a private company
(many large services & consulting companies remain private.)

Reason: To retain and maintain control

2. Get acquired by a large company

e.g. Cisco, IBM,
Microsoft, HP

examples: Facebook (aka Meta) acquired Oculus; Microsoft acquired Nokia; HP acquired Plantronics,...

3. Become a public company through an Initial Public Offering (IPO),
so that the start-up has access to the
"Direct channels" in the financial system
"Direct channels" $\Rightarrow$ Securities markets
(publicly traded stocks,
bonds, ...)

Money available in
the direct channels is $\sim$ "Trillions of
dollars"

Example of a successful start-up.

- Funding
- shares
- IPO

Netscape:

product: Web Browser

Company was founded by Jim Clark (who had founded Silicon Graphics, a highly successful computer graphics workstation company), & Marc Andreesson (a computer science graduate student at U. of I.

April 1994: Netscape is founded, self-funded by Jim Clark, the "angel"

Funding Round	Source	Capital Raised	Types of shares (stock)	Price per share
Seed	Jim Clark ("Angel")	≈ \$3M	Preferred A	\$0.95
Round 1	Kleiner-Perkins (VC)	≈ \$6M	Preferred B	\$2.25
Round 2	Strategic Partnerships (Adobe, ...)	≈ \$18M	Preferred C	\$9.00